

9708/12/m/j/20

1-B

- A- Had consumers been well-informed ,there would not have been a need for government to intervene.
- B- In a free market economic system, due to information failure or in other words ,lack of information about the true value these goods ,for example: healthcare and education present ,these goods are under-realized and under-valued ,leading to them being under-consumed .Therefore, the government intervenes by increasing consumption up to socially optimum levels of output to rectify market failure.
- C- In a free market economy, profit motives can drive innovation, competition, and economic growth. While it is true that producers aim to maximize their profits, this does not provide a sufficient reason for government intervention, as this will always be the case when price mechanism is functional.
- D- The presence of competition and multiple firms in a market is generally seen as beneficial for consumer welfare. It promotes efficiency, innovation, and lower prices. When there is non-existence of monopolies, this does not represent the need for government intervention.

2-B:

A): This scenario describes a barter transaction. The car repairer and plumber are exchanging their services directly without involving money. It is a mutual exchange where each party provides a service in return for the other's service based on **double coincidence of wants** .

B)In contrast, option B describes a consumer negotiating with a shopkeeper and buying a pair of trousers at a discounted price. This transaction involves the use of money (US\$10) as a **medium of exchange**, to purchase the trousers, and therefore it does not fall under the definition of a barter transaction.

C) A graduate student exchanging a set of textbooks for a radio with a student about to start the course: This is also an example of a barter transaction. The graduate student and the incoming student are exchanging goods (textbooks and a radio) without money. They are directly swapping items of value.

D)This scenario does not involve a barter transaction. It describes an agreement between the train company and the phone company for advertising rights. Both parties are providing advertising space in different mediums but not directly exchanging goods or services without the involvement of money.

3-D :

A) Average cost of production: The introduction of an automated production line and division of labor can lead to increased efficiency and specialization, which will lead to benefits from labor economies of scale to be achieved, which can lower the average cost of production.

B) It is not necessarily the most likely outcome, as workers may be bored due to monotonous and repetitive tasks.

C) The introduction of automation and division of labor often results in workers specializing in specific tasks within the production process. This specialization may lead to a narrower range of skills for each worker, as they focus on performing a specific job repeatedly. This is why, this becomes incorrect.

D) By dividing tasks into specialized functions and streamlining the production process, workers can focus on specific tasks they are proficient at, leading to increased efficiency, resulting in improved productivity, that is a higher output per unit of labor being produced, thus making this correct

4-A:

A) A minimum wage is the correct government policy to increase the incomes of the lowest paid workers: This statement expresses a value judgment or subjective opinion about what the correct government policy should be to increase the incomes of the lowest paid workers, thus making it a normative statement.

B) A minimum wage is the lowest amount that employers can legally pay their workers: This statement is a positive statement that describes the legal requirement of a minimum wage. It presents a fact about what the minimum wage represents without expressing a value judgment, this is why, this is a positive statement.

C) In Pakistan, a minimum wage of 15,000 Pakistani Rupees per month was set on 1 June 2016: This statement provides a factual description of a specific minimum wage policy implemented in Pakistan. It does not express a value judgment or subjective opinion.

D) Setting the minimum wage rate above the equilibrium will result in an excess supply of workers: This statement is a positive statement that describes the economic consequences of setting the minimum wage rate above the equilibrium level. It explains that doing so can lead to an excess supply of workers. It does not express a value judgment or subjective opinion.

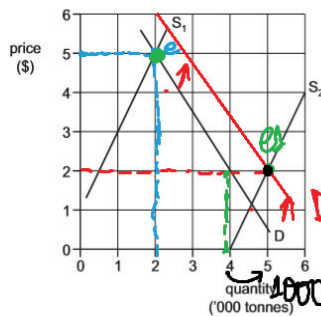
5-B:

Explanation of mcq : Farm is earning 10,000 dollars at price level of 5 dollars and a quantity of 2000 tons in the first year when the supply curve is S1, and now after a shift in supply curve, the price should be dollar 2 and qty should be 5000 tons for the revenue of the farmer to remain unchanged. Thus, at price level of 2, the demand should shift by 1000 tons from 4000 to 5000 tons.

This is why option B that says '1000 tons at all prices' is correct.

Therefore, no other option can be correct.

- 5 In the diagram, D is the demand curve for an agricultural commodity and S_1 is the initial supply curve. A good harvest causes the supply curve to shift to S_2 .



Step 1: The revenue currently at initial supply curve

$$[5 \times 2 = 10,000]$$

Step 2: Shift the Demand curve to bring Total Revenue of 10,000

Step #3: By how much did the demand curve shift? 1000 tonnes at all price levels.

By how much will the demand curve have to shift to leave farm incomes unchanged?

- A 500 tonnes at all prices
- ☒ B 1000 tonnes at all prices
- C 2000 tonnes at all prices
- D 4000 tonnes at all prices

6-D:

A - This cannot be perfectly inelastic demand, as perfectly inelastic demand represents a positive relationship between price and Total Revenue, as when price rises, since quantity demanded remains unchanged, there is a rise in Total Revenue, which is the same as a percentage rise in price. In other words, the percentage change in price is equal to the percentage change in total revenue.

B-Again, in case of inelastic demand, there is a positive relationship between price and Total Revenue, as a rise in prices when lead to a contraction in qty demanded by a smaller percentage, leads to a rise in Total Revenue.

C - This cannot be perfectly elastic demand as in such a case, the price must remain unchanged.

D - Unitary elastic demand is when a percentage change in price brings an equal percentage change in qty demanded, in the opposite direction, leading to the Total Revenue remaining unchanged, thus making this correct. For example: a rise in price by 10% will lead to contraction in qty demanded by 10%, leaving Total Revenue unchanged. This can also be identified by comparing the percentage change in price with the percentage change in qty demanded, which will be equal.

7-C:

The area of the consumer surplus is calculated by the formula of area of triangle i.e. "base*height/2"

→ At price level 5 → $\frac{\text{base} \times \text{height}}{2} \Rightarrow \frac{25 \times 12.5}{2} \Rightarrow 156.25$
 → At price level 10 → $\frac{20 \times 10}{2} \Rightarrow 100$
 → At price level 15 → $\frac{15 \times 7.5}{2} \Rightarrow 56.25$
 → At price level 20 → $\frac{10 \times 5}{2} \Rightarrow 25$

decreases by 56.25
 decreases by 43.75
 decreases by 31.25

Therefore, it can be said that consumer surplus falls by a decreasing amount with each \$5 rise

A- It does not fall by a constant rate. Between the price level of 5 and 10, it falls by 36%. Whereas, between the price level of 10 to 15, it falls by 43.75%, and between the price level of 15 to 20, it falls by 55.55%

B- It does not fall by a constant amount. This can be seen through the calculation above.

C- From the calculation above, it can be concluded that the consumer surplus falls by a decreasing amount with each dollar 5 rise.

D- It does not fall by an increasing amount.

8-D:

- 8 Following the introduction of a 10% increase in charges for car parking in a city centre, the demand for bus journeys per day into the city rose from 800 to 1000.

What was the cross elasticity of demand for bus journeys with respect to car parking charges?

- A -0.4 B +0.4 C +2.0 ☒ D +2.5

xed: $\frac{\% \text{ change in bus journeys}}{\% \text{ change in car parking charges}}$

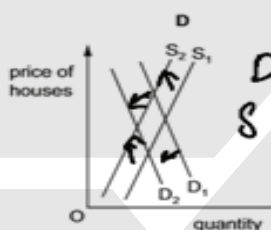
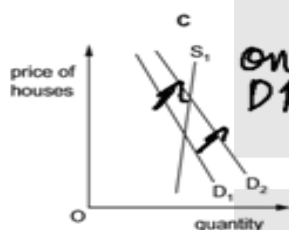
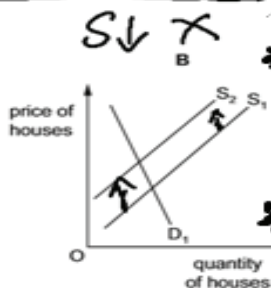
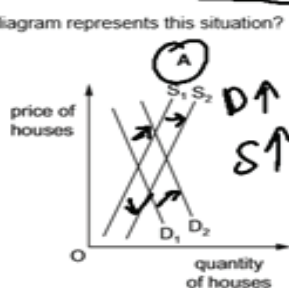
$$= \frac{(1000 - 800 \times 100)}{800} \times 10 = +12.5\%$$

→ +2.5 → Because of substitutes

9-A:

- 9 An economy is suffering from a housing shortage. The demand for housing continues to rise as real incomes increase and more construction firms enter the market to build more houses.

Which diagram represents this situation?



$S \downarrow$ $\times$ *** Demand increases.**

*** When more firms enter, the market supply increases.**

10-D:

- 10 A good has a price elasticity of supply of 2.0. The current quantity supplied is 300 units per week at a market price of \$20 per unit. The firm raises the price to \$25 per unit.

What will the new quantity supplied be per week?

- A 150 units
B 375 units
C 400 units
D 450 units

Initially, Q_S was 300 units

After an increase in $(150\% \times 300) \Rightarrow Q_S$ by 50%.

$\frac{\% \text{ change in } Q_S}{\% \text{ change in price}} = 2$

$\frac{25 - 20}{20} \times 100 \rightarrow 25\%$

$\frac{25\%}{2} = 12.5\%$

$12.5\% \times 300 = 37.5$

$300 + 37.5 = 337.5$

(450)

11-D:

A) Providing incentive for government intervention to reduce income inequality: While income inequality can be a concern for governments, it is not a function of the price mechanism.

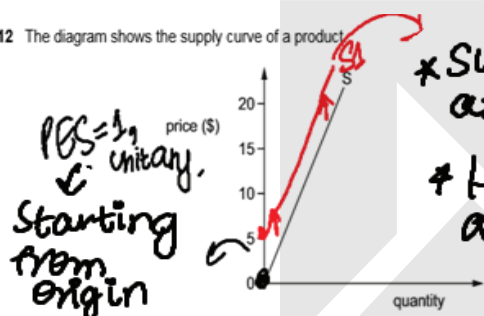
B) Removing shortages by creating incentives for market prices to fall: When there is a shortage of a product in the market, the price mechanism does not lead prices to fall. In fact, shortages often lead to higher prices as demand exceeds supply, which leads to equilibrium being restored, as now **prices will ration scarce goods**.

C) Removing surpluses by creating incentives for market prices to rise: Similarly, the price mechanism does not create incentives for prices to rise when there is a surplus. Surpluses occur when supply exceeds demand, and market forces may lead to lower prices to encourage increased consumption or discourage production, so that equilibrium is restored.

D) D is correct because it accurately describes a major function of the price mechanism. The price mechanism in a market economy serves as a **signaling mechanism**, conveying information about market conditions to both producers and consumers.

12-D:

12 The diagram shows the supply curve of a product



* Supply now starts from vertical axis, representing 'elastic supply'

* Had it started from horizontal axis, it would have represented 'inelastic supply'

The government imposes a specific indirect tax of \$5 on the product.

How will the price elasticity of supply of the product change?

- ☒ A from elastic (>1) to inelastic (<1)
- ☐ B from inelastic (<1) to elastic (>1)
- ☐ C from inelastic (<1) to unitary ($=1$)
- ☒ D from unitary ($=1$) to elastic (>1)

13-C:

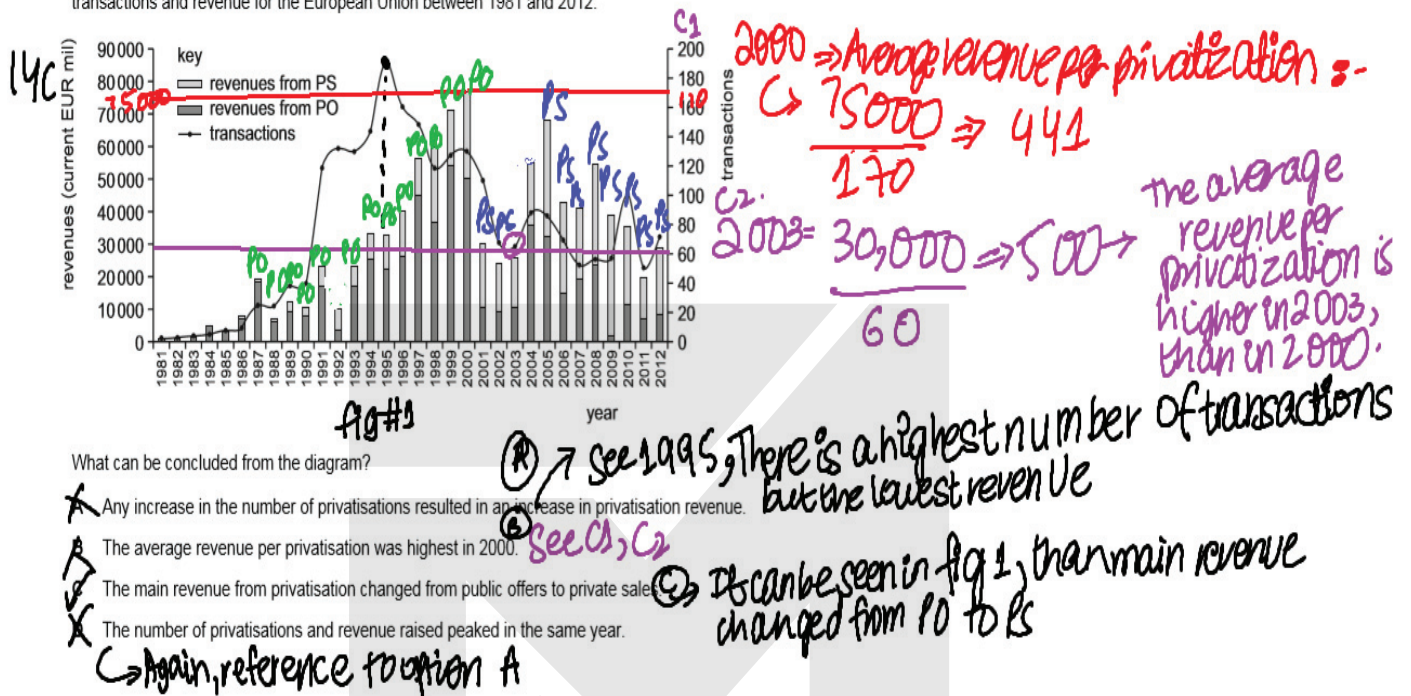
en by

$$\begin{aligned}
 Q_S &= Q_D & Q_S' &= Q_D \\
 P - 30 &= 240 - 2P & P - 36 &= 240 - 2P \\
 P + 2P &= 240 + 30 & P + 2P &= 276 \\
 3P &= 270 & 3P &= 276 \\
 P &= 90 & P &= \frac{276}{3} \\
 & & P &= 92
 \end{aligned}$$

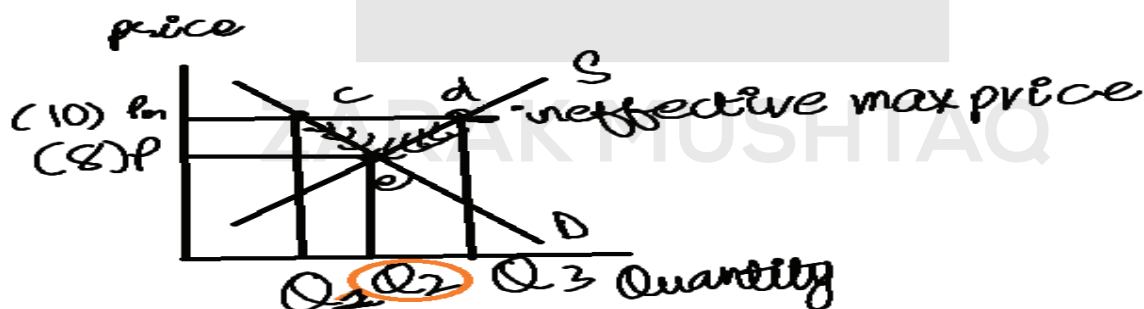
price increases by \$2

14-C:

- 14 Privatisation can be achieved by the sale of shares to the general public (public offers, PO) or by the direct sale to a private company (private sales, PS). The diagram shows privatisation transactions and revenue for the European Union between 1981 and 2012.



15-C:



If the government imposed a maximum price of 10 dollars as shown above, the maximum price would be ineffective as even though it cannot rise from this level, it can fall, and in this case back to the equilibrium, which would have made price control ineffective, and price-mechanism functional. This is why equilibrium price of dollar 8 would be the price, and equilibrium quantity of Q2 would be traded or sold in the market. This is why option C is correct.

A-The government would not need to supply Q1 to Q3. It would have found any such need if there was a shortage in the market due to effective maximum price legislation, this is why this option is incorrect.

B – The quantity sold would not be Q1.It would have been Q1,if there had been an effective minimum price legislation ,as in that case, the quantity demanded becomes the new qty traded.

D – The quantity sold or quantity traded would not increase , instead, the equilibrium qty would be maintained.

16-D

A) Because waste collection is a public good: Waste collection is not a public good. Public goods are characterized by non-excludability and non-rivalry in consumption. Waste collection, on the other hand, is typically excludable and rivalrous in nature, as it serves specific households and due to limited facility, payment by a few households may restrict others from availing the service .Therefore, this option is incorrect.

B) Costs of waste collection are bound to be lower if paid out of local taxes: The claim that costs of waste collection will always be lower if funded through local taxes is not necessarily true

C) Private companies are always less efficient than government companies: This option states that private companies are always less efficient than government companies, which is not accurate. Some private companies may be highly efficient in providing waste collection services due to a greater degree of competition, and incentives because of profit motives.

D) It suggests that a government may choose to replace a private company because it believes that the private company always prioritizes profits over meeting customer needs. By establishing its own company, the government can ensure that customer needs are met and objective of social welfare is achieved. This is why, this becomes correct.

17-A:

A) Import quotas are a trade restriction that limits the quantity of imported goods allowed into a country. They are not considered a government subsidy. Instead, import quotas are used as a protectionist measure to restrict foreign competition and protect domestic producers.

B) Interest-free loans provided by the government: This measure involves the government providing loans to domestic producers at zero or reduced interest rates. It is a form of financial support or subsidy aimed at assisting domestic producers. Therefore, it would be part of a government subsidy to protect domestic producers from competition.

C) Reductions in profits (business) taxes: This measure involves reducing the tax burden on domestic producers, specifically in the form of profits or business taxes. By reducing taxes, the **government provides financial relief to domestic producers**, which can help protect them from competition. Therefore, this measure would be part of a government subsidy to protect domestic producers.

D) Transfer payments: Transfer payments refer to payments made by the government to individuals or businesses without requiring them to provide goods or services in return. While transfer payments are not directly targeted at protecting domestic producers from competition, they can indirectly support domestic producers by providing income or assistance to individuals or businesses that may then purchase goods from domestic producers.

18-A

Option A, to control prices of railway services, is a valid reason for suggesting the nationalization of railways, since private sector firms may charge higher prices, to achieve their profit motives.

B) To encourage competition in railway services: Nationalization typically involves the transfer of ownership and control from private entities to the government. In this context, nationalizing the railways would eliminate competition among private firms, rather than creating it.

C) To increase the profit incentive: Nationalization usually involves the transition from the objective of profit maximization to social welfare. By nationalizing the railways, the government would prioritize public service over profit generation. Therefore, this option is incorrect.

D) To provide jobs for local people: Private sector was also employing workers, so the effect of transition from the private sector to the public sector may not certainly cause a rise in local employment in the short run.

19-A:

A - When a country's currency appreciates, it becomes stronger relative to other currencies. This makes imports relatively cheaper and exports relatively more expensive. As a result, domestic consumers tend to increase their purchases of imported goods by a relatively higher percentage when the demand is elastic, leading to a rise in import expenditures, while foreign consumers decrease their purchases of domestic goods by a relatively higher percentage when the demand for them is elastic, leading to a fall in export revenues. This leads to a decrease in net exports, which is a component of aggregate demand. Therefore, an appreciation in the exchange rate is likely to cause a decrease in aggregate demand.

B) An improvement in consumer confidence: When consumer confidence improves, it typically leads to increased consumer spending. This increase in consumer spending, in turn, tends to boost aggregate demand rather than decrease it. Therefore, an improvement in consumer confidence is not likely to cause a decrease in aggregate demand.

C) An increase in government expenditure: When the government increases its expenditure, it directly contributes to aggregate demand. Government spending is a component of aggregate demand, and an increase in government expenditure typically leads to an increase in overall demand rather than a decrease

D) An increase in the money supply: An increase in the money supply leads to a fall in interest rates, which reduces costs of borrowing and stimulates investment, leading to an increase in aggregate demand.

20-C:

A - In a fixed ER system, there is single rate fixed, and there is no band.

B -In a floating ER, neither is there is a fixed rate nor a certain band has to be maintained. The currency is allowed to float freely due to changes in demand and supply of currency

C- In case of a managed floating ER system, the ER is maintained within a set band, thus making it correct

D - Trade weighted ER index is not linked to type of ER.

21-A:

The balancing item - included: The balancing item, also known as the net errors and omissions, is included in the financial account to ensure that the overall balance of payments accounts (current account + capital and financial account and by including the balancing item, the balance of payments accounts maintain the fundamental accounting identity of being in equilibrium , that is, equal to zero.

Foreign direct investment (FDI) - included: Foreign direct investment represents the long-term investment by (an individual or company) of one country in an enterprise in another country. It involves the acquisition of a foreign enterprise, typically through the ownership of equity shares. **FDI is included in the financial account because it reflects a capital flow between countries and contributes to the transfer of ownership and control rights.**

Interest, profits, and dividends - current account: Interest, profits, and dividends are considered as income flows generated. These income flows are typically categorized under the current account rather than the financial account.

22-C:

A: This is incorrect as free trade does not involve the usage of tools of protectionism, so this option which claims that imports would allow revenue generation from tariffs is incorrect

B: The quantity of imports does not affect the Terms of Trade of an economy, instead it is the prices of imports and exports that affect TOT.

C: More imports lead to a rise in competitive pressures faced by domestic producers, which would encourage them to be X efficient, that is, when there is an incentive to work hard, leading to a rise in efficiency and productivity, benefitting domestic consumers as lower prices will be offered to them. This is why, this becomes correct.

D: If more imports lead to a fall in domestic consumption, and Aggregate demand, it will lead to a fall in production, demand for labor, leading to rising unemployment, thus making this incorrect.

23-C:

23 According to US Consumer Prices Index (CPI) statistics, an identical good that cost \$100 in 1913 would cost \$2359.60 in 2013.

What was the approximate cumulative rate of inflation over the period?

- A 23% B 230% C 2300% D 23000%

↳ Old price = 100

↳ New price = 2359.60

Percentage change →
calculated through

$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$

$$\rightarrow \frac{2359.60 - 100}{100} \times 100$$

approximate

$$\rightarrow 2259.6 \approx \underline{\underline{2300\%}}$$

24-B:

A Balance of Trade surplus would lead to a rightward shift in the Aggregate demand curve.

So now, in-order to maintain the equilibrium, either Aggregate demand would have to be decreased or Long Run Aggregate supply would have to be increased.

- A- Higher government spending represents injections in to the circular flow ,which would lead to an increase in Aggregate demand, thus making this incorrect.
- B- Higher direct taxation, for example: income taxes would decrease disposable income, reducing consumption expenditure, reducing Aggregate demand, thus leading to equilibrium being achieved ,thus making this correct.
- C- Higher spending on infrastructural development and a budget deficit would further increase Aggregate demand, making this incorrect.
- D- Lower interest rates would reduce costs of borrowing , and stimulate investment expenditure, increasing Aggregate demand.

25-C:

- A: It is incorrect because TOT can be calculated accurately
- B: It does not include more than one currency
- C: It is correct as terms of trade is the ratio of export prices to the ratio of import prices.
- D: This is also incorrect because TOT does not measure the change over time.

26—B:

- A: An increase in free trade is certain to reduce Average costs of production as international specialization is being done, which means that focus is on only one industry.
- B: A rise in level of free trade performed would not create higher chances of employment quickly in the “short run”, thus making this correct. Also, due to higher competitive pressures faced and unfair dumping, unemployment may increase.
- C: After specialization and free-trade, whereby countries focus on producing goods and services they are best at , based on their comparative advantage , this will lead to them being able to import more goods in exchange for exports, thus leading to the Production Possibility curve being shifted to Trading Possibility Curve, leading to an increased access to goods and services beyond the ability of a country to produce in the short run, **representing a rise in choices and standard of living.**
- D: There will definitely be an increase in competition, as countries will be in face of tough competitive pressures ,thus leading to them focusing on exploiting resources efficiently.

27-C

- A: Since inflation is still occurring, menu costs would not fall to zero.
- B: Since people on fixed income earners will face no rise in nominal incomes, due to an inflation rate of 3%, their real incomes will fall by 3%

$$\text{C) } \text{Real Interest rate} = \text{Nominal Interest rate} - \text{Inflation rate}$$

$$\hookrightarrow 1\% = 4\% - 3\%$$

C:

Since nominal interest rate is greater than inflation rate, this means that the value of savings will be protected in real terms, this means that savers will gain in real terms, thus making this correct.

D: This is incorrect to say as because of inflation, the purchasing power of money falls, since the value of money erodes in real terms

28-B:

A: Increased quantitative easing is a “monetary policy”. This is why, this becomes incorrect.

B: Increased “welfare spending” is an example of expansionary fiscal policy, which will lead to an increase in budget deficit when government spending rises relative to tax revenues. This is why, this becomes correct.

C: Lower income taxes is an example of expansionary fiscal policy, but it must result in an increase in budget deficit if tax revenues decrease relative to government spending.

D: Lower interest rates is an example of monetary policy.

29-B:

A: A tariff is an example of “expenditure switching policy” aimed at switching the expenditure of domestic residents from imported goods to domestically manufactured goods. This is why, this is incorrect

B: A tariff is an example of “expenditure switching policy” as mentioned above, thus making this correct.

C: Monetary policy involves the usage of money supply, interest rates and exchange rate as tools to influence Aggregate demand, thus making this incorrect as “tariff cannot be a monetary policy”

D: The target of supply side policies is to increase Aggregate supply. Tariffs do not increase Aggregate supply. Instead, they can lead to a reduction in Aggregate supply and a rise in “cost push inflationary pressures”

30-A:

A – A decrease in interest rate reduces the incentive to save, and increases consumption. Further, after having reduced costs of borrowing, it increases investment, in turn leading to a rise in the **price of stock/assets**. And, since this represents injections in to the circular flow, it will lead to a rise in Aggregate demand, helping the economy to recover from deflation.

B- Diagram Z does not show a rise in Aggregate demand, that would occur as a result of a fall in corporation taxes. Plus, fiscal policy does not relate to stock/prices of assets.

C – Increasing interest rates would increase the costs of borrowing, leading to a fall in investment expenditure, which would result in a fall in Aggregate demand, leading to deflationary pressures being exacerbated.

D – Although, reduction in corporation taxes as part of expansionary fiscal policy would result in a rise in Aggregate demand, helping to recover from deflation, this is incorrect as fiscal policy does not relate to stock or assets.



ZARAK MUSHTAQ